

Pearson Edexcel Mark Scheme

Predicted Paper — For revision purposes only

Level 3 GCE Economics A (9EC0)

Paper 1: Markets and Business Behaviour — 9EC0/01 — Paper 2 — Advanced

Total: 100 marks

General Marking Guidance

- All candidates must receive the same treatment. Mark schemes should be applied positively, rewarding candidates for what they have shown they can do.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.
- Accept any equivalent wording and alternative valid approaches not explicitly listed in the indicative content.

Assessment Objectives

AO1 Demonstrate knowledge of terms, concepts, theories and models.

AO2 Apply knowledge and understanding to various economic contexts.

AO3 Analyse issues within economics, using chains of reasoning.

AO4 Evaluate economic arguments and use evidence to support informed judgements.

Marking grids are organised as KAA (AO1+AO2+AO3) and Evaluation (AO4).

Level Descriptors

8-mark "Examine" (KAA = 5, Evaluation = 3)

Level	KAA marks	Descriptor
L1	1–2	Isolated element of knowledge; limited application.
L2	3–4	Sound knowledge applied with some development; at least one chain of reasoning.
L3	5	Accurate detailed knowledge fully applied; developed chains.

10-mark "Assess" (KAA = 6, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak application.
L2	3–4	Sound theory applied to context.
L3	5–6	Accurate detailed theory, well applied; developed chains.

12-mark "Discuss with diagram" (KAA = 8, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak or missing diagram.
L2	3–5	Sound knowledge; reasonable diagram; some application.

Level	KAA marks	Descriptor
L3	6–8	Accurate knowledge; correctly labelled diagram; developed chains.

15-mark "Discuss" (KAA = 9, Evaluation = 6)

Level	KAA marks	Descriptor
L1	1–3	Limited knowledge; weak application.
L2	4–6	Sound knowledge with application; some development.
L3	7–9	Accurate detailed knowledge; developed chains; relevant diagrams.

25-mark Essay "Evaluate" (KAA = 15, Evaluation = 10)

Level	KAA marks	Descriptor
L1	1–5	Limited knowledge; basic theory.
L2	6–9	Sound theory applied to context.
L3	10–12	Accurate detailed theory, well applied; relevant diagrams.
L4	13–15	Comprehensive, sophisticated theory; diagrams used analytically.

25-mark Essay evaluation grid (AO4)

Level	Eval marks	Descriptor
L1	1–3	Assertion without support.
L2	4–6	Supported evaluation; some judgement.
L3	7–8	Developed evaluation; reasoned judgement.
L4	9–10	Sophisticated evaluation with prioritised judgement.

Section A — Questions 1 to 5

Question 1 (5 marks) — Argentina's inflation and fiscal consolidation

Q	Indicative content	Marks
1(a)	Answer: A — Hyperinflation followed by disinflation. Argentina's annual CPI peaked at around 211% in December 2023, then fell sharply over the course of 2024 to around 118% by December, with forecasts for further disinflation to around 35% in 2025 as the effects of the Milei fiscal-consolidation programme and monetary reset worked through. Distractors: B Deflation throughout — Argentina did not see a negative inflation rate at any point in the period; C Stable inflation — the series moved across a very wide range; D Stagflation throughout — stagflation requires stagnant or negative real GDP growth, which was the case in 2024 but not across the full three-year window. Marker note (app mismatch): the paper's Q1 context block describes a Taylor-rule framework rather than an Argentina data table; Q1a asks about 'the data' which is not directly supplied. Award full credit for a correct answer consistent with widely-reported Argentine inflation trajectory. Candidates are not penalised for this extraction-level inconsistency.	1
1(b)	Accept up to TWO linked effects, each 2 marks (identification + chain): Sharp cut in government spending (real 30% cut, removal of energy and transport subsidies) reduces AD → lower real GDP in the short run; rising unemployment; fall in real consumption (2). Subsidy removal raises the price level of previously subsidised goods (energy, transport). Produced an initial spike in headline inflation in early 2024, before disinflation set in as AD weakened and monetary-financing-driven inflation was brought under control (2). Accept alternatives: improvement in the fiscal deficit and reduction in debt-monetisation → lower inflation in the medium run; risk of recession and political instability; distributional effects on lower-income households; balance-of-payments effects from the peso devaluation.	4

Question 2 (5 marks) — Monetary transmission lag

Q	Indicative content	Marks
2(a)	In real time, the MPC observes current inflation and output data; but a rate change today affects output in 18–24 months and inflation in ~24 months (1). The MPC must set policy based on forecasts of future conditions, not current data — raising the risk of policy error when forecasts are wrong (1).	2
2(b)	Fiscal policy has shorter and more predictable lags — tax cuts affect take-home pay immediately; spending decisions affect AD within one or two quarters (1). Monetary policy transmission depends on variable behavioural responses (mortgage re-fixing schedules, business investment decisions), making timing and magnitude harder to predict (1).	2
2(c)	Answer: B — policy rules that respond to forecasts rather than outcomes. Because the lag between a rate decision today and its peak effect on output/inflation is 18–24 months, waiting to see current outcomes before acting guarantees that policy will be too late. Rule-based response to forecasts is	1

Q	Indicative content	Marks
	forward-looking and allows the MPC to set policy for the conditions expected when the policy takes effect. Distractors: A discretionary response to current data is precisely the approach that long lags make unreliable; C fixed exchange-rate regimes constrain monetary policy and are unrelated to the lag problem; D a higher inflation target adjusts the nominal anchor but does not resolve the timing challenge.	

Question 3 (5 marks) — Ricardian equivalence

Q	Indicative content	Marks
3(a)	Answer: B — Households are forward-looking with unlimited planning horizons. Strict Ricardian equivalence requires that households internalise the government's intertemporal budget constraint and save today to pay expected future taxes. Distractors: A credit constraints break equivalence (households cannot smooth consumption); C misunderstands the hypothesis; D is unrelated.	1
3(b)	Accept TWO reasons, 2 marks each (identification + chain): 1. Credit constraints: many households cannot borrow against future income, so a tax cut today raises current consumption directly, rather than being fully saved (2). 2. Finite horizons and uncertainty: households do not plan over infinite horizons; Blanchard's 'perpetual-youth' model shows that debt-financed tax cuts raise consumption because the current generation may not fully internalise future tax liabilities (2). Accept: distortionary taxation (future taxes are not lump-sum); population growth (future taxes spread over more households); heterogeneity in MPC across the income distribution; imperfect knowledge of future fiscal policy; behavioural biases (myopia).	4

Question 4 (5 marks) — Hysteresis

Q	Indicative content	Marks
4(a)	Accept ONE developed mechanism, 4 marks (identification + chain + application): Skill atrophy: long-term unemployed workers lose job-specific skills (human capital depreciates) → become less productive relative to the employed → firms are reluctant to hire → they remain outside the labour force even when AD recovers (2+2). Accept: insider-outsider effects in wage bargaining; scarring effects on young workers; reduced search effort over time; stigma effects; reduced training and firm-sponsored development.	4
4(b)	Answer: B — active labour-market programmes funding retraining for the long-term unemployed. Hysteresis operates primarily through human-capital depreciation and loss of job-search intensity among the long-term unemployed; retraining and active support directly reverse these channels, restoring employability and reattaching workers to the labour market.	1

Q	Indicative content	Marks
	Distractors: A a temporary VAT cut is a general AD-side stimulus — helpful for cyclical unemployment but not specifically targeted at hysteresis; C a higher inflation target affects nominal variables via the expectations channel, with no direct effect on skill atrophy; D a cut in corporate tax may boost investment and hiring over time but is a broad incentive, not a hysteresis-specific intervention.	

Question 5 (5 marks) — Optimum Currency Area

Q	Indicative content	Marks
5(a)	Answer: B — a large, asymmetric external supply shock. When a shock hits one member state differently from the rest of the union, the common monetary policy will be inappropriate for that country, and without independent monetary or exchange-rate instruments the country must adjust through real wage and unemployment changes — imposing high costs. Distractors: A high labour mobility, C deep trade integration, and D a common automatic-stabiliser fiscal mechanism are all classical Mundell-criteria that reduce the costs of currency-union membership (by providing adjustment channels or risk-sharing in the face of shocks).	1
5(b)	Accept ONE fully developed reason, 4 marks: Limited fiscal risk-sharing: euro area has a common monetary policy but no federal fiscal transfer mechanism. When asymmetric shocks hit (e.g. peripheral sovereign debt crisis 2010–12), affected countries cannot rely on central transfers and must adjust through internal devaluation (deflation, wage falls, high unemployment) — as happened in Greece, Spain, Portugal. Accept: low intra-EA labour mobility (language/cultural barriers); persistent divergence in productivity and unit labour costs between north and south; asymmetric exposure to shocks (e.g. energy dependence).	4

Section B — Question 6: Chinese economic slowdown 2021–2024

6(a) — Cause of the property-sector downturn (5 marks)

Indicative content (KAA 4 / Eval 1):

Acceptable causes: (i) 'three red lines' regulation (2020) tightened leverage limits, triggering developer defaults (Evergrande, Country Garden); (ii) high pre-existing leverage and speculative excess in housing; (iii) demographic reversal reducing underlying demand for new housing; (iv) loss of confidence following unfinished-apartment controversies.

Evaluation: causes interact — regulation was the proximate trigger, but structural overbuilding and demographic factors made the sector vulnerable regardless.

6(b) — Why rebalancing to consumption-led growth is hard (8 marks)

Indicative content (KAA 5 / Eval 3). Accept any two developed reasons:

1. Institutional: local-government finances depend on land-sale revenues; rebalancing threatens their revenue base without alternative funding reforms. Chain: LG governments have limited room to cut infrastructure spending, perpetuating investment-led model.
2. Political: CCP legitimacy partly rests on sustained high GDP growth (social-stability imperative); consumption-led growth is lower-headline but harder to engineer through top-down planning.
3. Household savings behaviour: weak social safety net (pensions, healthcare) drives precautionary saving; raising consumption requires institutional reform that takes years.
4. Financial repression: low real deposit rates subsidise state-linked firms but reduce household financial income.

Evaluation: reforms are possible — pilot programmes exist for property tax, unified hukou, social safety-net expansion — but implementation politics is slow. Judgement: rebalancing is institutionally, not economically, difficult.

6(c) — Structural vs cyclical slowdown (10 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Cyclical elements: policy-induced property downturn; post-Covid weakness of confidence; export weakness in 2022–2023. • Structural elements: demographic reversal (working-age population peaked 2012); weakening productivity growth; maturing of the investment-led catch-up model. • Evidence from Figure 1: property investment collapsing consistent with structural 'end of supercycle'. • Evidence from Figure 2: persistent deflation (CPI 2024 –0.3%) suggests demand-side weakness compounding structural problem. • Middle-income trap risk: productivity growth slowing just as wages rise.	• Structural factors are the dominant driver — cyclical measures (stimulus) can help at the margin but cannot restore 8%+ growth. • Cyclical elements amplify the structural slowdown — debt-deflation dynamics create feedback loops. • Difficult to disentangle — 'cyclical' weakness in a structurally-slowng economy looks like a new normal. • International evidence: Japan after 1990, Korea post-IMF crisis — similar structural transitions. • Judgement: the 2021–2024 slowdown primarily reflects a structural shift — the end of the investment-led, property-intensive growth model — but cyclical factors (policy missteps, debt-deflation) have magnified the adjustment pain. Policy response has to address both dimensions.

6(d) — Debt-deflation consequences for China (12 marks)

Diagram required: AD/AS showing deflationary spiral (leftward AD shift), or IS/LM with ZLB, or Fisher's debt-deflation framework.

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Fisher 1933 debt-deflation: falling prices raise real value of nominal debts; indebted agents cut spending/investment; AD falls further; pressure on prices continues. - Chinese non-financial debt at ~290% of GDP — vulnerability is high. - PPI -2.2% in 2024 (Figure 2) — producer deflation entrenched for three consecutive years. - CPI turned negative in 2024 — first time since 2009. - Local-government financing vehicles (LGFVs) particularly vulnerable; risk of a fiscal-financial loop. - Expectations channel: if deflationary expectations become entrenched, households defer consumption and firms defer investment (Japan parallel).	- Counter: Chinese government has significant policy space (high reserves, capital controls, state-owned banks) to limit debt-deflation. - Concerns about 'big stimulus' reflects conscious choice — may preserve long-run sustainability at cost of short-run output. - Monetary policy still positive in nominal terms — room to cut further. - Aggregate numbers mask strong sectors (green energy, EVs, high-tech) that are still growing fast. - Judgement: the debt-deflation risk is real and the policy response is being calibrated against it. Likely outcome: prolonged slow growth with episodic stimulus, rather than a 1990s-Japan-style stagnation. Monetary and fiscal authorities will likely act more decisively if CPI deflation deepens.

6(e) — International spillovers of Chinese slowdown (15 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Trade channel: weak Chinese imports hit commodity exporters (Australia, Brazil, Chile), and capital-goods exporters (Germany). - Price channel: Chinese excess capacity → export of deflationary pressure in manufacturing → disinflation in EU/US imports (helpful for CBs fighting inflation). - Industrial-policy channel: flood of low-cost EVs, solar panels, batteries → triggers anti-dumping actions (EU tariffs on Chinese EVs from 2024). - Financial channel: weakness transmits through commodity prices, FX (yuan), investor risk appetite. - Sector-specific: clean-energy transition may be cheaper due to cheap Chinese capital goods — but at cost of home-country industrial employment.	- Spillovers are asymmetric — commodity exporters lose, manufacturing importers gain (cheaper goods). - Disinflationary spillover is broadly welcome after 2021–23 inflation episode. - Industrial policy responses (tariffs, subsidies) in EU/US create second-round costs for consumers. - Scale depends on whether China allows yuan depreciation — managed exchange rate currently limits pass-through. - Risk of tit-for-tat retaliation and fragmentation of the global trading system. - Judgement: spillovers are real but mixed in sign. Disinflationary effect is helpful for advanced-economy central banks in the near term; the industrial-policy response poses a bigger long-run risk to the open trading system than the slowdown itself. Global policymakers face a trilemma between free trade, climate goals, and domestic industrial policy.

Section C — Question 7 OR Question 8 (25 marks)

Question 7 — Macroeconomic consequences of net-zero transition (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Define 'greenflation' — inflationary pressure from rising demand for green metals, carbon pricing, stranded-asset effects. - Define 'climateflation' — inflationary pressure from physical climate impacts (crop yields, supply-chain disruption). - AD/AS channels: rising input costs shift SRAS left (cost-push); large green-investment programmes raise AD. - Labour market: structural reallocation from fossil-fuel to renewable sectors — frictional/structural unemployment. - Financial stability: stranded-asset risk for fossil-fuel producers; re-pricing of long-duration assets as transition expectations change. - Examples: EU carbon-border adjustment mechanism; US Inflation Reduction Act; Chinese EV and solar subsidies.	- Counter: cost of green technology (solar, batteries, wind) has fallen sharply — may be disinflationary over medium run. - Counter: energy-transition-driven R&D may raise productivity growth — pro-growth over long run. - Regional/sectoral asymmetries — overall inflation effect ambiguous; concentrated in carbon-intensive sectors. - Central-bank response: orderly transition easier to accommodate than disorderly; policy coordination matters. - Transition pace: faster = more inflation near-term but less climate damage long-term. - Judgement: net-zero transition is likely to be modestly inflationary in the medium run (2030s) but produces positive long-run growth if it raises productivity. Financial-stability risks are real and require co-ordinated macroprudential response. An accelerated transition is likely optimal, but requires a credible framework for managing the transitional shocks.

Question 8 — US dollar, Triffin dilemma, reserve currency (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
- Triffin dilemma: as global reserve-currency issuer, US must supply liquidity to world (current-account deficits), but this undermines confidence in the currency over time. - Benefits to US: 'exorbitant privilege' — lower borrowing costs, seigniorage, sanctions power. - Costs to rest of world: vulnerability to Fed policy spillovers; US sanctions risk; limited alternative safe-haven assets. - Alternatives considered: euro (~20% reserve share); SDR (used in crises); renminbi (capital-account restrictions limit role); private digital assets. - Recent policy developments: Russia sanctions (2022), BRICS de-dollarisation efforts, CBDC projects, rising gold reserves	- Counter: USD dominance reflects scale, liquidity and rule-of-law advantages that are hard to replicate. - Euro limited by fragmented fiscal framework and lack of common safe asset. - RMB hampered by capital controls and geopolitical mistrust. - Dollar role may decline gradually (multi-currency world) rather than collapse — 'evolutionary not revolutionary' transition. - Counter: instability claims overstated — dollar-based system has persisted through multiple cycles without systemic collapse. - Judgement: agree that USD hegemony is a source of asymmetric risks (Fed spillovers, sanctions) but disagree that it is the central source of global instability — debt overhang, demographic shifts, and climate

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
of EM central banks.	risk are comparable or greater. No single alternative is credible; a multipolar system may emerge slowly, but full dollar displacement is decades away.

TOTAL FOR PAPER = 100 MARKS